

MARKET ANALYSIS

Can a 99-Unit Rental in Crown Heights Justify Its Construction Costs Today?

A 12-story filing tests whether Brooklyn infill development pencils under current debt and labor math.

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A source-grounded Light Tower Insight. The complete note follows.

A developer just filed permits for a 99-unit rental at 566 Grand Avenue in Crown Heights. The building will rise 12 stories, span 85,651 square feet, and include 5,764 square feet of commercial space. The lot is vacant. The architect is David Gross of GF55 Partners. The owner is Josef Goodman of Haussmann Development LLC.

None of that is the interesting part.

The interesting part is whether this project pencils under current construction financing terms, and what it says about the kind of developer who files permits in a market where most sponsors are waiting for rates to fall.

Let me be direct: filing permits is not the same as breaking ground. It is a signal of intent, not a commitment of capital. But it is a signal worth reading carefully, because it tells us who still believes the math works at today's costs.

The building will yield 79,886 square feet of residential space across 99 units, averaging 806 square feet per unit. That is a rental product, not a condo layout. The commercial component is modest. Seven parking spaces are included, which is less a concession to car ownership than a zoning requirement the developer chose not to fight.

The concrete-based structure will reach 123 feet. That means a full podium-and-frame build, not a cheaper stick-and-brick alternative. Concrete construction carries a premium in both materials and labor, especially in New York where prevailing wage and union rules apply above certain height thresholds.

So the question becomes: what rent does a 99-unit concrete rental in Crown Heights need to achieve to support the debt service on a construction loan originated in mid-2026?

Construction financing today is not what it was in 2021. Regional banks, the traditional source for ground-up multifamily in Brooklyn, have pulled back sharply. The few that remain active are pricing construction loans at SOFR plus 350 to 450 basis points, with recourse requirements that make sponsors think twice. Private credit funds have stepped into the gap, but at spreads that push the all-in

cost of debt toward 9 percent or higher.

At those rates, the debt service on a typical 65 percent loan-to-cost construction loan consumes a large share of projected net operating income before the first tenant moves in. The developer is effectively betting that rents will grow faster than the interest clock ticks.

Crown Heights rents have risen steadily over the past five years, but the pace has slowed. According to market reports, average asking rents in the neighborhood are around \$3,200 for a one-bedroom and \$3,800 for a two-bedroom. At 806 square feet average, the units here would likely be a mix of one- and two-bedroom layouts. Achieving the rent premiums needed to justify concrete construction would require the building to command a quality premium over the existing stock.

That is possible. Crown Heights has seen significant new supply in recent years, much of it concentrated along the Franklin Avenue corridor near the C train. The site at 566 Grand Avenue is close to that transit node. A well-designed building with modern amenities can attract tenants willing to pay above market average.

But possible is not the same as certain. And certainty is what a construction lender wants to see before advancing funds.

Hausmann Development is not a household name. Josef Goodman has been involved in several Brooklyn projects, but the firm does not have the balance sheet of a Related or a TF Cornerstone. That matters because construction lenders underwrite the sponsor as much as the asset. A smaller developer needs a stronger pre-lease commitment, a tighter budget, or a larger equity check to get the same loan a larger sponsor would receive on softer terms.

The fact that permits were filed suggests Goodman believes the numbers work. It also suggests he has a line on capital, either from a lender willing to underwrite the story or from equity partners who trust the underwriting.

But filing permits is the cheap part. The expensive part comes next: the hard cost contract, the foundation work, the moment when the construction loan actually funds and the interest clock starts

running.

What should a market participant test next? Watch whether this project actually closes construction financing. If it does, it will be a data point that the development market in Brooklyn is not frozen, just selective. If it does not, it will join the growing list of permitted projects that never broke ground, waiting for a rate environment that makes the math work again.

The market is not rewarding optimism. It is rewarding structure. This filing is a bet that the structure exists. We will know soon enough whether the bet was right.

SOURCES

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<https://newyorkyimby.com/2026/07/permits-filed-for-566-grand-avenue-in-crown-heights-brooklyn.html>

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